

sometimes we need to let go of certain investments that might be holding our portfolios down. My friend, Jenny Coombs, associate professor at the College for Financial Planning and founder of gradmoney.org, says knowing when to let go of a losing investment is important to the process of rebalancing your portfolio. Here's her take on this:

I think more tears have been shed over declining stock than cash lost on a hand of poker at a casino. Maybe because one is a long, slow drawn-out process and the other is quick, yet neither is painless. However, sometimes the worst may be over and you just don't know it! Investments go up and down all the time, and unless you have a tough stomach, I highly advise that you only check your portfolio a few times per year to see how things are going. It is normal for a stock to lose value from time to time but in the end with a long-term focus and with patience, you should end up with more than when you started. There are, however, some times when you just cannot save a sinking ship.

How do you know when it's time to give up and take a loss on an investment that's losing you money? Here are Jenny's quick tips:

The stock or fund reaches your "stop-loss" limit. This is a very easy way to make sure that an investment will never lose more than you can afford to lose. A stop-loss is a minimum price you are willing to let an investment decline to before you cut your losses and sell it; most brokerage accounts have this ability automatically built-in if you set it up for your portfolio.

The investment's fundamentals have changed for the worse. Investments can have adverse reactions to news and earnings events, but that does not necessarily mean that the investment is doomed. For example, If Google's stock or your favorite Vanguard index fund dropped 10% in a day, you would not necessarily think that the investment is doomed, right? Of course not, because it's a stable investment with plenty of long-term growth and their historical performance supports that. Knowing why you bought an investment in the first place is very helpful—it should be because the investment is expected to keep gaining value over time and there is nothing in the foreseeable future that will upset this balance. Understanding your